

The Salesforce logo, which consists of a blue cloud shape with the word "salesforce" written in white lowercase letters inside it. The background of the slide features a series of concentric, slightly offset blue lines that create a sense of depth and movement, radiating from the top left corner.

salesforce

PRODUCTIVITY SOFTWARE

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PRODUCTIVITY SOFTWARE INDUSTRY

INDUSTRY OVERVIEW

- Tools improve individual and company **efficiency**, enhance **collaboration**, provide **analytics**, etc.
- Global productivity software market size estimated at **59.88 billion in 2023** with predicted CAGR for 2024-2030 of 14.1% (12.7% for the US)
- Major players: **Google LLC, Microsoft, Adobe**, etc

U.S. Productivity Management Software Market
Size, by Solution, 2020 - 2030 (USD Billion)



SALESFORCE TAKEAWAYS

- Salesforce provides **customer relationship management** software with a focus on analytics, customer service, AI, e-commerce, marketing, etc.
- Tailors its products to a **vast span of industries** including automotive, retail, technology, healthcare, media, etc.
- Released **Agentforce** (an AI virtual agent platform) in September 2024, demonstrating its **consistent innovation**
- Salesforce is a **cloud-based** software so businesses all sizes can **easily use**

DRIVERS

Increased **remote work** due to Covid

Growing need for businesses to manage tasks to **enhance growth**

Advancements in **Machine Learning** and **AI**

TRENDS

Increased demand for productivity software to aid **virtual communication**

Greater demand for productivity management to **improve efficiency**

More demand **implementation of AI** in productivity software

PORTER'S 5 FORCES ANALYSIS

BUYER POWER - MODERATE

- **Many buyers**; individuals and businesses of **all sizes** across **most industries**
- Other companies are available as **substitutes** but options are relatively **limited**

SUPPLIER POWER - LOW

- **Many buyers**; individuals and businesses of **all sizes** across **most industries**
- Other companies are available as **substitutes** but options are relatively **limited**

COMPETITIVE RIVALRY - HIGH

- A **few larger** competitors that dominate but **many smaller** companies
- **Rapidly growing** and evolving industry
- Customers **high expectations** for efficiency pressure companies to keep up with **AI and other technology** trends

THREAT OF NEW ENTRANTS - MODERATE

- **Low capital** requirements because no inventory or big investments required
- Brand **loyalty is higher** especially with huge companies like Microsoft
- Regulatory landscape is **intensifying** from **cybersecurity concerns**

THREAT OF SUBSTITUTION - MODERATE

- Manual processes (spreadsheets, paper systems, etc.) are **lower cost but inefficient**, inaccurate, and not scalable
- A few quality substitutes like **competitors** but **low willingness to switch**